Value-Cost-Risk (VCR) Assessment

Phase 4 — Validate · HDB TPO Product Workshop · July 2026

FACILITATOR REFERENCE
Model Answer — Phase 4

V — Value
How much does this scenario improve operations, customer experience, and growth potential?

C — Cost
Total financial commitment: upfront setup + ongoing monthly costs against current $4,100 surplus.

R — Risk
Likelihood of failure × severity of impact if it fails. 1★=Low, 5★=Very High risk.

VCR COMPARISON — MODEL ANSWER

Scenario	Description	Value (1–5)	Cost	Risk (1–5)	Overall Verdict	Narrative
A1	Basic digital only	★★★☆☆	$25K + $300/month	★★☆☆☆ Low	Solid start	*Good value for money. Fixes internal ops but leaves revenue growth untapped. Best if cash is extremely constrained.*
A2	Full integrated digital + supply chain	★★★★★	$150K + $1,000/month	★★★☆☆ Medium	Good if funded	*Only scenario that fully resolves all 9 pain points including supply chain (#9). $150K = 37× monthly surplus — requires significant grant coverage or financing to be viable.*
B1	AMK Food Centre only	★★★☆☆	$80K + $14,500/month	★★★★☆ High	Ops not fixed first	*Expands revenue but exports all operational chaos to a second location. Darren: "Two chaotic shops instead of one."*
B2	AMK Hub B1 only	★★★☆☆	$150K + $20,000/month	★★★★★ Very High	Financially extreme	*Same setup cost as A2 but generates revenue instead of fixing ops. $150K + $20K/month against $4.1K surplus — existential risk without strong early AMK performance.*
C1 ★	Basic digital + AMK Food Centre	★★★★☆	$105K + $15,100/month	★★★☆☆ Medium	★ RECOMMENDED	*Fixes customer-facing ops first, then expands sequentially. BCR ~2.7×. Accepts supply chain (#9) as a Year 2 upgrade — a conscious, defensible trade-off.*
C2	Full integrated digital + AMK Hub B1	★★★★★	$300K + $21,000/month	★★★★★ Very High	Not financeable	*Comprehensively addresses all 9 pain points including supply chain. $300K is simply not financeable from $4.1K/month — existential risk for a family business without major external funding.*

★ GROUP RECOMMENDATION — MODEL ANSWER

Scenario C1 — Conservative: Basic Digital ($25K) + AMK Food Centre ($80K)

Fix customer-facing operations first with the Basic digital solution ($25K). Prove the model over 6 months. Then open the AMK Food Centre outlet with Darren as manager (Month 12–18). This recommendation balances Tea Fellas' growth ambition against its financial reality. **Accepted trade-off:** C1 does not resolve Pain Point #9 (supply chain scalability). This is a conscious decision — the inbound supply process with Lim Teck Seng Trading remains manual under C1, with a planned upgrade to A2-level supply chain capability in Year 2 when cash flow supports it.

~$105K
Total investment

~$16,250/mo
Year 3 combined monthly surplus

~2.7×
Benefit-cost ratio (Year 3)